Erudite Africa Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

# Manufacturing

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Africa Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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## — Executive summary

Ethiopia's manufacturing sector is gaining momentum: the Ministry of Industry reports export earnings of 607 million USD in the 2018 Ethiopian fiscal year (2025/26), up from 385 million USD before the Made in Ethiopia initiative, and targets 1 billion USD in the year that follows. Manufacturing employment has passed 433,000, industrial capacity utilization stands at 69.2 percent, and about 5.9 billion USD in import substitution was reported over the past fiscal year. Investors can draw on IPDC's 13 serviced parks and economic zones, tax holidays of up to 10 years in industrial parks, and preferential access to markets under Everything But Arms, the AfCFTA and COMESA.

MANUFACTURING EXPORT EARNINGS

**607 million USD (385 million USD before the Made in Ethiopia initiative); target 1 billion USD for 2019 EFY**

MANUFACTURING EMPLOYMENT

**More than 433,000, up from about 162,000 at the start of the reform program**

INDUSTRIAL CAPACITY UTILIZATION

**69.2 percent**

IMPORT SUBSTITUTION (FOREIGN EXCHANGE SAVED)

**Nearly 5.9 billion USD**

## 01 Key indicators

| Indicator | Value | Period |
|---|---|---|
| Manufacturing export earnings | **607 million USD (385 million USD before the Made in Ethiopia initiative); target 1 billion USD for 2019 EFY** | 2018 Ethiopian fiscal year (2025/26) |
| Manufacturing employment | **More than 433,000, up from about 162,000 at the start of the reform program** | As reported 2026-07-30 |
| Industrial capacity utilization | **69.2 percent** | As reported 2026-10-03 (no period stated) |
| Import substitution (foreign exchange saved) | **Nearly 5.9 billion USD** | Past fiscal year (2018 EFY, 2025/26), reported 2026-10-03 |
| Manufacturing, value added | **4.20246448198783 percent of GDP** | 2025 |
| IPDC-managed parks | **13 special economic zones/parks; 100,000+ jobs created; 200+ investors; $1.8 billion revenue generated** | Cumulative, IPDC website as of 2026-10 |

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| Indicator | Value | Period |
|---|---|---|
| Manufacturing share of commercial banks' outstanding loans | **16.2 percent, down from 23 percent** | June 2025 vs. June 2024 |
| Textile and apparel exports | **Over USD 140 million; sector grown four-fold since 2020** | Not stated (EIC page last modified 2023-02) |

## 02 Returns and yields

| Measure | Value | Period | Basis |
|---|---|---|---|
| Agricultural machinery and irrigation equipment manufacturing investment case | **IRR 24%; NPV USD 121.3M on USD 350.8M investment** | Hand-in-Hand Investment Forum 2026 | Projected internal rate of return for a proposed mechanization manufacturing investment case (FAO-hosted); not an observed return |
| Commercial banks' weighted average long-term lending rate | **17.9 percent (18 percent at end-June 2025)** | End-September 2025 | Economy-wide lending rate, not specific to manufacturing |
| 91-day Treasury bill weighted average yield (benchmark) | **12.4 percent** | February 2026 | Risk-free local-currency benchmark yield |

No international institution or Ethiopian government source we reviewed publishes an observed average return on investment for manufacturing as a whole. The figures above are the closest published indicators: a projected IRR for one FAO-hosted machinery manufacturing investment case, the economy-wide commercial bank lending rate, and the 91-day Treasury bill yield.

## 03 Investment opportunities

- **Integrated textile value chain.** EIC promotes investment across cotton cultivation, ginning, spinning, weaving, dyeing and garment production, plus trims and accessories, in plug-and-play textile parks.
- **Leather and leather products.** EIC cites capacity of over 500 million square feet of finished leather a year, over USD 120 million a year from leather products, and specialized leather parks with zero-liquid-discharge treatment facilities.
- **IPDC industrial parks and SEZs.** IPDC offers serviced land and pre-built factory sheds with one-stop-shop services across 13 sites, including Bole Lemi, Hawassa, Kombolcha, Adama, Dire Dawa and Debre Birhan.
- **Import substitution.** The Ministry of Industry pairs the Made in Ethiopia initiative with an import substitution program and reports about 5.9 billion USD in import substitution within a single year.
- **Pharmaceuticals (brief).** EIC cites an 85 percent import share in pharmaceutical supply and the 279-hectare Kilinto Industrial Park for pharmaceutical manufacturing; these figures come from a 2019 study.

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## 04 Incentives

- Up to 10 years income-tax holiday for enterprises producing inside industrial parks, and up to 15 years for industrial park developers.
- Exemption from duties and other taxes on imports of machinery, equipment and construction material (also spare parts, raw materials and vehicles), a duty-free privilege for exporters, and bonded-export-factory schemes.
- The Ethiopian Pharmaceutical Supply Agency gives local manufacturers 25 percent price protection against foreign suppliers and 30 percent advance payment under long-term agreements.
- EIC cites preferential trade access under Everything But Arms, the African Continental Free Trade Area and COMESA for Ethiopia-based investors.

## 05 Points to consider

- Input sourcing: the World Bank notes that firms in industrial parks import more than 95 percent of their inputs, which makes local supplier development and the government's import substitution program a related opportunity.
- Export finance: the World Bank says liquidity shortages and lending caps can limit exporters' ability to fulfill international orders and expand, particularly for smaller exporters. Exporters can also use the duty-free and bonded-export-factory schemes listed under incentives.
- Manufacturing's share of commercial banks' outstanding loans was 16.2 percent in June 2025, compared with 23 percent a year earlier, so investors should plan financing structures early.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Africa Connect's analyst due diligence. Contact us to arrange one.

**References for members.** Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Africa Connect members on the platform.

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